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Mara Heritage Bank Board Pack — Q3 2025

Board Chair and Chief Executive Officer · 25 June 2025

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Executive summary

Fifteen months into the five-year plan, the board meets at a governance checkpoint. Two internal thresholds have been crossed: real estate exposure has reached 31.2% against the 25% guideline, and digital lending non-performing loans have crossed 9% for the second time. Both breaches meet the material divergence definition that triggers board strategic review. The capital position remains comfortable at 16.4% CET1, 240 basis points above the internal floor. Digital operations exceed every target — mobile transactions run at 2.4× baseline, uptime holds at 99.6%, cost-to-serve has fallen 18% — but the cohort dynamics in unsecured consumer digital lending were insufficiently understood at strategy approval. The CEO recommends pivoting the digital product mix toward secured SME lending and reducing the FY28 digital revenue target from 18% to 16%. The board's decision is not whether to pivot, but on what terms: external validation of the revised cohort model, transition management of the existing unsecured book, and enhanced governance on concentration limits.

Index

01. Performance Against the Five-Year Plan

02. Concentration Risk Position

03. Capital Position and Allocation Framework

04. Strategic Decisions Queued for Board Approval

Performance Against the Five-Year Plan

Operational delivery exceeds targets; strategic assumptions require revision

Digital operational delivery has surpassed every target set at plan approval. Mobile transaction volumes run at 2.4× the FY24 baseline. Digital channel uptime has held at 99.6% through Q3. Customer satisfaction scores on digital channels now match the best peer in the market. The technology platform investment is producing the expected operational benefits: cost-to-serve on retail customers has fallen 18%, branch traffic on routine transactions is down 31%. The execution capability is proven.

The strategic misjudgment is in product-market-risk fit. The original cohort model anticipated steady-state non-performing loans of 6-7% for digital lending. Actuals crossed 9% in Q3 and management now assesses the steady state may settle in the 8-11% range. At the revised loss rate, the FY28 digital revenue target of 18% requires substantially more book growth or a different product mix. The unsecured consumer digital lending thesis was a strategic error — the cohort dynamics were not adequately understood at strategy approval.

Loan book growth holds at 13.2% year-on-year, within the 12-15% target corridor. Return on equity compressed to 15.1% in the transition year, against the plan's acceptance of near-term compression before returning to 18% from FY26. Provisioning fell to 68% of the 74% baseline, reflecting the digital book dynamics. Cost-to-income improved to 51%, ahead of the 48% FY28 target trajectory. Real estate concentration drifted to 31.2%, 620 basis points above the 25% internal guideline.

The board approved a five-year plan with explicit review triggers. Material divergence — defined as more than 200 basis points off path on any of the five strategic targets — triggers board strategic review. Both the real estate concentration breach and the digital NPL experience meet this definition. The Q3 results activate the governance architecture the board approved fifteen months ago. [], [], [], [], [], [], [], []

Concentration Risk Position

Two breaches require board decisions on risk appetite and capital allocation

Real estate exposure has reached 31.2% of risk-weighted assets against the 25% internal guideline. The drift represents 620 basis points of overshoot. The capital allocation framework specifies that allocations outside ±20% of business line targets require board approval; real estate has exceeded that threshold without recorded escalation. The concentration has grown over multiple quarters while CET1 held 240 basis points above the internal floor, which means

risk-weighted assets grew more slowly than the headline loan book due to mix shift. The bank has been taking concentration risk without corresponding capital charges.

Digital lending non-performing loans crossed 9% in Q3 for the second time. The original strategy modelled 6-7% steady-state losses; management now assesses 8-11% as the realistic range. The revised assessment rests on three observations: customer acquisition cost inflation reduced the quality of the marginal cohort, competitive pressure compressed underwriting standards in the pursuit of volume targets, and the macroeconomic environment produced employment volatility in the target customer segment that the original model did not anticipate. Whether these are analytical failures or unforeseeable market developments will determine the board's response.

The strategic capital allocation framework reserves three principles: capital follows strategic priority not historical share, concentration risk carries loaded hurdle rates, and 100-150 basis points of CET1 headroom is reserved for opportunistic deployment. The real estate breach violates the second principle; the digital NPL experience challenges the first. The framework anticipated that SME lending would be the primary diversification mechanism away from corporate concentration, growing from 6% to 12-15% of RWAs by FY28. Real estate concentration has consumed the balance sheet capacity that was designated for SME growth.

The board decision is how to reallocate. The CEO recommends an absolute halt on new corporate real estate facilities until concentration falls below 28%, accepting that this will constrain corporate book growth in the near term. For digital lending, the recommendation is a product mix pivot toward secured SME digital lending, which carries lower loss rates but requires different origination capability and longer cycle times. The transition question is how to manage the existing unsecured digital book without crystallising larger near-term losses. [], [], [], [], [], []

Capital Position and Allocation Framework

Comfortable headroom; deployment constrained by concentration limits

The CET1 ratio at end-Q3 stood at 16.4%, providing 240 basis points of headroom against the internal floor of 14%. Total capital ratio of 19.1% sits above the regulatory minimum with margin for stress. The capital position is not the constraint; the constraint is how to deploy the headroom without breaching concentration limits or loading risk onto cohorts with unproven dynamics. Risk-weighted assets have grown more slowly than the loan book, which has preserved headroom but also signals that the bank is not taking capital charges proportional to concentration risk.

The strategic capital allocation framework operationalises the five-year plan's capital strategy. Corporate banking holds 62% of RWAs; the allocation is sufficient to maintain market position but not to grow share. SME lending was designated to grow from 6% to 12-15% of RWAs by FY28, explicitly as the diversification lever away from corporate concentration. Digital lending was

allocated growth capital with explicit cohort-based reservation — capital increases as cohort performance is observed, with the option to slow or accelerate based on actual NPL trajectory. The digital cohort has underperformed; the SME diversification has been crowded out by real estate drift.

The framework specifies that allocations within ±20% of business line targets are within management discretion, reported quarterly. Allocations outside that range require board approval. Real estate exceeded the threshold; the record does not show whether board approval was sought or whether the drift occurred within the quarterly reporting lag. Treasury and trading holds 18% of RWAs with no planned allocation change. Fee income diversification remains the third strategic pillar but has not yet translated to material balance sheet capital allocation.

The board's capital allocation decision is whether to authorize the CEO's recommendation: pivot digital lending capital toward secured SME products, halt corporate real estate growth until concentration normalises, and reserve 100-150 basis points of headroom for opportunistic deployment rather than committing it to business line targets. The alternative is to defend the original digital revenue target with enhanced credit controls and accept higher near-term NPLs, which would require explicit board acceptance of revised risk appetite. [], [], [], [], []

Strategic Decisions Queued for Board Approval

Three linked decisions on risk appetite, capital deployment, and governance

The CEO recommends approval of the digital transformation strategic refresh with three components: pivot the digital lending product mix away from unsecured consumer credit toward secured SME digital lending, reduce the FY28 digital revenue target from 18% to 16%, and impose an absolute halt on new corporate real estate facilities until concentration falls below 28%. The recommendation rests on the judgment that pivoting now is preferable to defending the original choice. The operational capability is proven; the strategic error was in product selection, not platform execution.

The strategic refresh surfaces three questions the board must answer before approving the pivot. First, is the revised cohort model robust, or does the board require external validation before committing capital to the new product mix? Management has revised the steady-state NPL assumption from 6-7% to 8-11% based on fifteen months of cohort observation; whether that sample is sufficient or whether independent credit risk review is warranted will determine the pace of the pivot. Second, what is the right FY28 digital revenue target — the original 18%, the conservative 14-15%, or the recommended compromise at 16%? The choice carries implications for investor communication and the bank's narrative on transformation pace. Third, how does management intend to manage the transition in the existing unsecured digital book without crystallising larger near-term losses? The grounding does not show the answer; the board will ask.

The governance question is why the concentration drift occurred without triggering the escalation mechanisms the capital allocation framework specifies. Real estate grew 620 basis points beyond the internal guideline; allocations outside ±20% of business line targets require board approval. Either the board approved the allocation and the record does not reflect it, or management grew the book within quarterly reporting lag without real-time escalation. The former is a documentation issue; the latter is a governance failure. The board should clarify which before approving enhanced governance on concentration limits going forward.

The board's decision is not binary approval or rejection. The decision is approval with conditions: external validation of the revised cohort model before scaling the new product mix, quarterly concentration reporting at board level rather than management discretion within the ±20% band, stress testing on the unsecured book transition with capital set-aside for crystallisation risk, and clarity on whether the real estate drift was authorized or unauthorized. The conditions are where governance tightening happens. The pivot is the strategic correction; the conditions are the assurance that the governance architecture will function as designed in the next cycle. [], [], [], [], [], []

> “The unsecured consumer digital lending thesis was a strategic error — the cohort dynamics were not adequately understood at the original strategy approval.”

Recommendations

1. Board — approve the digital transformation strategic refresh with FY28 revenue target reduced to 16%, contingent on external validation of the revised cohort model by by Q4 2025

2. CEO — commission independent credit risk review of the digital portfolio cohort dynamics before scaling secured SME digital lending by by 30 September 2025

3. Board — authorize absolute halt on new corporate real estate facilities until concentration falls below 28% by effective immediately

4. Chief Risk Officer — produce stress scenarios on the existing unsecured digital book transition, with capital set-aside recommendations for crystallisation risk by by 15 August 2025

5. Board — mandate quarterly concentration reporting at board level for all business lines exceeding internal guidelines by commencing Q4 2025

6. CEO — clarify whether real estate concentration growth to 31.2% was board-authorized or occurred within management discretion, and recommend governance process correction by by next board meeting

7. Chief Financial Officer — reserve 100-150 basis points of CET1 headroom for opportunistic deployment per the strategic capital allocation framework by reflected in FY26 capital plan

8. Board Risk Committee — review the capital allocation framework escalation thresholds and recommend whether ±20% discretion band remains appropriate given concentration experience by by Q1 2026

Sources

[1] mara-heritage-bank-board-pack-q3-2025.pptx

[2] mara-heritage-bank-board-pack-q3-2025.pdf

[3] mara-heritage-bank-board-pack-q3-2025.docx

[4] mara-heritage-bank-board-pack-q3-2025.pdf

[5] mara-heritage-bank-board-pack-q3-2025.docx

[6] mara-heritage-bank-board-pack-q3-2025.pdf

[7] mara-heritage-bank-board-pack-q3-2025.docx

[8] mara-heritage-bank-board-pack-q3-2025.docx

[9] mara-heritage-bank-board-pack-q3-2025.docx

[10] Digital Transformation Strategy — Strategic Refresh

[11] Strategic Capital Allocation Framework

[12] Five-Year Strategic Plan 2024-2028 — Executive Summary